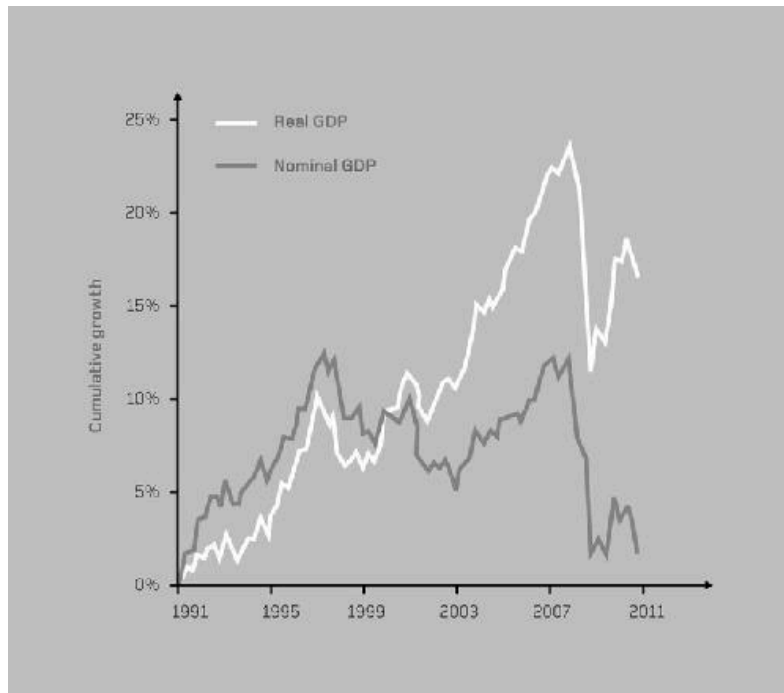


Real versus nominal GDP

Suppose that a nation's Gross Domestic Product (GDP) rises by 10 per cent in one year. This might be because the output of goods and services in the country went up by 10 per cent. But it could also mean that the prices that we use to value the goods rose by 10 per cent while the actual output didn't rise at all. Often, growth in national income is the result of a combination of rising output and rising prices. Nominal GDP is expressed in money terms without adjustment for the impact of changing prices. Real GDP measures the actual goods and services produced.

If GDP rises by 10 per cent purely due to a rise in prices, then real GDP has stayed constant. In terms of actual goods and services available, the economy has got no richer. Economists calculate real GDP by computing the level of output at the prices of a particular fixed year. This removes the impact of price changes on the GDP number.

Japanese GDP, 1991–2011



In Japan during the 1990s, prices increased faster than output, so nominal GDP outpaced real GDP. In the 2000s prices lagged behind output so real GDP growth was faster than nominal.